



Rating

Buy

North America
United States

TMT

Software

Company

Oracle

Reuters
ORCL.N

Bloomberg
ORCL US

Date

11 September 2026

Rating	Buy
Price target (USD)	300.00
Price at 10 Sep 26	152.94
52-week range	324.59 – 114.99

Valuation & Risks

F1Q - Delivering the Goods

Oracle's fiscal year got off to a strong start, delivering F1Q results that beat on both the top and bottom line while continuing to selectively build backlog with \$30bn+ of AI contracts signed via prepay or BYOHW-type structures that reportedly won't require any additional capital from Oracle. The company also confirmed it completed the previously announced \$20bn ATM equity program during the quarter, removing what had been viewed by some as an overhang on shares. Strong project execution and accelerating OCI growth also gave mgmt. confidence to modestly raise full-year revenue and EPS targets, despite it being early in the year with a lot of contracted capacity left to deliver.

Digging into results, OCI remains the standout, with revenue accelerating nearly 30pts to +120% y/y @cc (~5pts above Street) on the back of adding a record 850MW of cloud capacity, containing >300k GPUs delivered to customers in the quarter. While a few hundred MWs came from its flagship AI site in Abilene, TX, a majority appears to have come from other sites as we were reminded of contribution from Oracle's wide ranging project portfolio that spans hundreds of sites globally. In addition to new GPU capacity, it was also encouraging to hear of incremental contribution from older GPUs (a majority >4yrs) coming up for renewal in the quarter that were reportedly renewed or resold at a 20% average premium to prior contract levels, another positive data point for economic useful life. With continued execution across the portfolio and full run-rate revenue contribution from capacity delivered in F1Q, there appears to be opportunity for further OCI growth acceleration over the next several quarters.

If there was one area to pick at within OCI, it would be a second quarter of decelerating Cloud DB growth as early traction of multicloud database (+353% y/y) isn't yet enough to drive an overall inflection and remains an area to watch given the very high margin nature of this business. SaaS revenue +10% y/y @cc came in slightly below Street as well, with resilient growth in Fusion (+14%) and Industry Apps (+12%) again offset by slowing NetSuite (+6%) following a couple quarters of elongated sales cycles in the SMB segment. Mgmt. is optimistic this is largely behind them and that new AI-infused products alongside a growing deferred balance present opportunity for growth to tick higher ahead. Finally, high-margin license revenue was 9% below Street as Oracle continues to pivot customers toward ratable cloud offerings.

Moving down the income statement, non-GAAP gross margins continued to contract as expected, coming in line with our forecast at 61.0% (-7.7pts y/y) as headwinds from mix shift and pre-revenue scaling costs continue to play out.

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Importantly though, this was again more than offset by OpEx dollars that declined -9% y/y and resulted in a modest 0.4pts y/y expansion in NGOM. While optically we understand some of the angst around gross margins, we think it's important to highlight this in large part reflects the transition from capital-light SW to more capital-intensive infrastructure business and point to non-GAAP operating profit growth that has accelerated from +9% y/y a year ago to +31% y/y this quarter.

With a solid F1Q in the books, this clears the decks for the upcoming financial analyst meeting on October 28th where we look forward to hearing more about: (1) the OCI AI buildout and growth strategy; (2) ability for prepay, BYOHW and other capital-light models to ease the financial constraints on Oracle's ability to scale its AI infrastructure business (3) the opportunity to leverage decades of deep enterprise incumbency and trust to drive adoption of its new AI Data Platform; (4) traction of new AI features/packaging/pricing in Apps, and (5) coding agents unlock for accelerating database and legacy App migrations. The event will also be the first opportunity for new CFO Hilary Maxson to put her mark on long-term financial targets and provide an update on the CapEx and financing strategy, which will be highly anticipated. We reiterate our Buy rating and \$300 price target.

What We Liked / What We're watching on the Quarter

(+) Total revenue at +30% y/y @cc beat the high end of guidance (27%-29%) for the first time in recent history. Relative to consensus, the 1pt of upside was led by Hardware and Services, offset by slightly lower Support and License. Importantly, Cloud came in 1pt above the mid-point of guidance, accelerating 15pts sequentially to +61% y/y @cc.

(+) IaaS revenue of \$7.4bn rose to +120% y/y @cc (from +92% in F4Q), +5pts above DBE/Street estimates. This marked the sixth straight quarterly record for sequential OCI revenue adds at +\$1,601m (vs \$899m in the prior Q). Overall, Oracle delivered 850MW of capacity in F1Q, in line with guidance for near 1GW.

(+) >300k GPUs were delivered since F4Q, including 131k GPUs at Abilene in F1Q. GPU utilization rates were cited to remain near full at 97.9%. Encouragingly, all GPU capacity coming up for renewal was renewed or resold at a 20% premium to prior contracts with the majority of those GPUs already 4yrs or older.

(-) Cloud Database Services growth moderated to +26% y/y (vs. +29% in F4Q) against a 1pt tougher comp and implies ~\$180m ARR added in the quarter. Multicloud database revenue continues to ramp rapidly at +353% y/y as customer count increased +180% and Oracle expanded availability across hyperscalers to 70 regions and 119 availability zones.

(=) SaaS revenue accelerated 1pt to +10% @cc although came in below our forecast of +11% y/y @cc. Growth here remains led by Fusion which grew +14%, while Industry Applications grew >20% and mgmt. noted continued acceleration in Oracle Health.

(+) Customers used Oracle's embedded AI capabilities >150m times during F1Q (+42% q/q) while AI agents executed >3.5m times in production (~2x q/q). The number of customer agents in production increased 90% q/q to >2.3k with AI usage across Fusion alone consuming 900bn tokens during the quarter.



(+) Total RPO rose \$26bn q/q to \$664bn of which the vast majority of new contracts were noted to be utilizing prepayments, BYOHW, or similar structures, therefore requiring no incremental capital from Oracle. Nearly half of total RPO is now expected to be recognized over the next 36 months. New RPO from the quarter is not expected to contribute to revenue or CapEx until FY28 or beyond.

(-) High-margin License revenue was below Street at -14% y/y @cc.

(=) Ongoing gross margin pressure, with non-GAAP GM at 61.0%, -7.7pts y/y on a higher IaaS mix within Cloud which we believe also reflects expense-timing impacts associated with ramping OCI capacity. That said, this result was in line with our expectations as we believe mgmt. continues to work towards prior guided profitability targets.

(+) Non-GAAP OM of 42.1% (+0.4pts y/y) was +1.3pts vs DB/Street, as the step down in GMs was largely offset by cost control and simplification initiatives, with OpEx dollars declining for a second consecutive quarter this time by -9.1% y/y in F1Q (vs. -4.9% in F4Q).

(+) Non-GAAP EPS of \$1.92 exceeded guidance and grew 30% y/y, ahead of the +17-20% guide driven by strong revenue and operating leverage.

(-) FCF came in at -\$5.4bn (vs DBE/Street at -3.4bn/-9.5bn) as higher-than-expected CapEx of \$28.5bn to support accelerating Cloud growth more than offset record operating cash flows that benefited from strong execution and collection of customer prepayments.

What We Liked / What We're watching on the Guide

(=) Revenue guidance for F2Q at +30%-34% y/y (reported & @cc) came roughly in line with Street at +31.9%. Within this, F2Q Cloud revenue guidance calls for significant further acceleration to +64%-70% @cc from +61% this past quarter, with the midpoint slightly above Street ~65%.

(=) F2Q non-GAAP EPS guidance of \$1.85-\$1.93 was also in line with Street of \$1.89. Full year non-GAAP EPS was raised to \$8.10 vs \$8.05 prior.

(+) Mgmt. now expects FY27 revenue to be "at least" \$90bn vs \$90bn prior, implying growth of 34% or better (vs. 16% @cc in FY26). Here, Cloud Infrastructure revenue is expected to continue accelerating through the remainder of FY27 as strong execution helps convert more of Oracle's RPO into revenue.

(+) FY27 CapEx guidance of \$90-95bn was reiterated with net cash outlays capped at \$70bn, where the gap reflects customer prepayments, BYOHW, and other similar funding structures. Mgmt. noted that CapEx spending will not be linear through the year, which we attribute to the timing dynamics/lumpy nature of bringing AI infrastructure into service.

Valuation and Risks

Incorporating F1Q results, guidance and our updated thoughts on the business, we adjust our FY27/28 revenue estimates to \$90.7/\$129.7bn from \$88.7/\$128.7bn and our FY27/28 non-GAAP Operating Income to \$36.3/\$48.9bn from 35.7/\$48.7bn. Reflecting high out year revenue and operating income forecasts, we reiterate our \$300 PT. Downside risks to our rating and target price include: 1) Key man/woman risk, 2) Change in the



competitive environment; 3) Changes in the IT spending environment; 4) Customer concentration; and 5) Ability to ramp cloud infrastructure capacity.

Figure 1: F1Q Summary

Oracle (ORCL)						
In \$mn except EPS						
	1Q27					
	Actual	DBe	Actual vs. DBe	Cons.	Actual vs. Cons.	Company guidance
Income Statement						
Cloud Services (IaaS + SaaS)	11,607	11,500	+0.9%	11,561	0.4%	
Y/Y Growth	+61.5%	+60.0%		+60.9%		+58% to +64%
Q/Q Growth	+17.1%	+16.0%		+16.6%		
Y/Y Growth - CC*	+61.0%	+59.5%		+60.0%		+57% to +63%
SaaS	4,219	4,279	-1.4%	4,257	-0.9%	
Y/Y Growth	+9.9%	+11.5%		+10.9%		
Q/Q Growth	+2.3%	+3.7%		+3.2%		
Y/Y Growth - CC*	+10.0%	+11.0%		+10.0%		
IaaS	7,388	7,221	2.3%	7,217	2.4%	
Y/Y Growth	+120.7%	+115.8%		+115.6%		
Q/Q Growth	+27.7%	+24.8%		+24.7%		
Y/Y Growth - CC*	+120.0%	+115.3%		+115.4%		
Software License	655	693	-5.5%	720	-9.0%	
Y/Y Growth	-14.5%	-9.5%		-6.0%		
Q/Q Growth	-65.2%	-63.1%		-61.7%		
Y/Y Growth - CC*	-14.0%	-10.0%		-6.0%		
Software Support	4,895	4,906	-0.2%	4,905	-0.2%	
Y/Y Growth	-1.2%	-1.0%		-1.0%		
Q/Q Growth	-1.0%	-0.7%		-0.8%		
Y/Y Growth - CC*	-1.0%	-1.5%		-2.1%		
Hardware	774	606	+27.6%	670	15.5%	
Y/Y Growth	+15.5%	-9.5%		+0.0%		
Q/Q Growth	-16.2%	-34.4%		-27.5%		
Services	1,414	1,401	+0.9%	1,362	3.8%	
Y/Y Growth	+4.8%	+3.9%		+1.0%		
Q/Q Growth	-7.2%	-8.0%		-10.5%		
Total Revenue	19,345	19,107	+1.2%	19,130	1.1%	
Y/Y Growth	+29.6%	+28.0%		+28.2%		+27% to +29%
Q/Q Growth	+0.8%	-0.4%		-0.3%		
Y/Y Growth - CC*	+30.0%	+27.5%		+28.1%		+27% to +29%
Non-GAAP Gross Profit	11,803	11,660	+1.2%	11,869	-0.6%	
Non-GAAP GM (%)	61.0%	61.0%		62.0%		
Non-GAAP OI	8,151	7,793	+4.6%	7,803	+4.5%	
Non-GAAP OM (%)	42.1%	40.8%		40.8%		
Y/Y Growth	+30.7%	+25.0%		+25.1%		
Non-GAAP Net Income	5,839	5,220	+11.9%	5,148	13.4%	
Net margin (%)	30.2%	27.3%		26.9%		

Source: Company Reports, DB Estimates, Bloomberg Finance LP



Figure 2: Estimate Summary

Oracle (ORCL)															
In \$mn except EPS															
	2027E					FY27E					FY28E				
	New estimates	Old estimates	New v. old	Cons.	Company guidance	New estimates	Old estimates	New v. old	Cons.	Company guidance	New estimates	Old estimates	New v. old	Cons.	Company guidance
Income Statement															
Cloud Services	13,383	12,965	+3.2%	13,138		57,868	55,491	+4.3%	56,666		97,225	95,902	+1.4%	98,367	
Y/Y Growth	+67.8%	+62.5%		+64.7%	65% - 71%	+70.2%	+63.3%		+66.7%		+68.0%	+72.8%		+73.6%	
Q/Q Growth	+15.3%	+12.7%		+14.2%		---	---		---		---	---		---	
Y/Y Growth - CC*	+67.3%	+62.0%		+64.9%	64% - 70%	+70.0%	+63.0%		+66.8%		+68.0%	+72.8%		+72.1%	
SaaS	4,307	4,367	-1.4%	4,317		17,517	17,770	-1.4%	17,537		19,225	19,902	-3.4%	19,479	
Y/Y Growth	+10.5%	+12.0%		+10.7%		+10.2%	+11.8%		+10.4%		+9.8%	+12.0%		+11.1%	
Q/Q Growth	+2.1%	+2.1%		+0.9%		---	---		---		---	---		---	
Y/Y Growth - CC*	+10.0%	+11.5%		+10.3%		+10.1%	+11.6%		+10.7%		+9.8%	+12.0%		+11.5%	
IaaS	9,076	8,598	+5.6%	8,770		40,350	37,721	+7.0%	38,984		78,000	76,000	+2.6%	78,303	
Y/Y Growth	+122.5%	+110.8%		+115.0%		+122.9%	+108.4%		+115.4%		+93.3%	+101.5%		+100.9%	
Q/Q Growth	+22.8%	+19.1%		+21.4%		---	---		---		---	---		---	
Y/Y Growth - CC*	+122.0%	+110.3%		+115.0%		+122.6%	+108.1%		+115.2%		+93.3%	+101.5%		+101.1%	
Software License	803	898	-10.6%	900		4,032	4,586	-12.1%	4,492		3,629	4,242	-14.5%	4,378	
Y/Y Growth	-14.5%	-4.3%		-4.2%		-14.9%	-3.2%		-5.2%		-10.0%	-7.5%		-2.5%	
Q/Q Growth	+22.6%	+29.6%		+29.8%		---	---		---		---	---		---	
Y/Y Growth - CC*	-15.0%	-5.0%		-5.0%		-14.8%	-3.3%		-3.3%		-10.0%	-7.5%		-5.0%	
Software Support	4,867	4,892	-0.5%	4,892		19,488	19,567	-0.4%	19,629		19,072	19,260	-1.0%	19,407	
Y/Y Growth	-1.4%	-0.9%		-0.9%		-1.6%	-1.2%		-0.9%		-2.1%	-1.6%		-1.1%	
Q/Q Growth	-0.6%	-0.3%		-0.3%		---	---		---		---	---		---	
Y/Y Growth - CC*	-1.9%	-1.5%		-1.7%		-1.7%	-1.5%		-2.1%		-2.1%	-1.6%		-1.9%	
Hardware	819	776	+5.5%	776		3,313	3,058	+8.3%	3,084		3,479	3,058	+13.8%	3,084	
Y/Y Growth	+5.5%	+0.0%		+0.0%		+7.4%	-0.8%		+0.0%		+5.0%	+0.0%		+0.0%	
Q/Q Growth	+5.8%	+28.0%		+28.0%		---	---		---		---	---		---	
Services	1,478	1,507	-1.9%	1,457		5,948	6,024	-1.3%	5,892		6,246	6,204	+0.7%	5,961	
Y/Y Growth	+3.5%	+5.5%		+2.0%		+3.6%	+4.9%		+2.6%		+5.0%	+3.0%		+1.2%	
Q/Q Growth	+4.5%	+7.6%		+4.0%		---	---		---		---	---		---	
Total Revenue	21,350	21,039	+1.5%	21,183		90,650	88,726	+2.2%	89,989	90,000+	129,650	128,668	+0.8%	130,699	130,000
Y/Y Growth	+33.0%	+31.0%		+31.9%	30% - 34%	+34.6%	+31.7%		+33.6%		+43.0%	+45.0%		+45.2%	
Q/Q Growth	+10.4%	+10.1%		+10.9%		---	---		---		---	---		---	
Y/Y Growth - CC*	+32.5%	+30.5%		+32.0%	30% - 34%	+34.5%	+31.5%		+33.6%		+43.0%	+45.0%		+45.4%	
Non-GAAP Gross Profit	12,527	12,473	+0.4%	12,724		51,923	51,729	+0.4%	52,931		64,341	65,042	-1.1%	68,379	
Non-GAAP GM (%)	58.7%	59.3%		60.1%		57.3%	58.3%		58.8%		49.6%	50.6%		52.3%	
Non-GAAP OI	8,601	8,434	+2.0%	8,502		36,272	35,696	+1.6%	36,215		48,875	48,684	+0.4%	48,834	
Non-GAAP OM (%)	40.3%	40.1%		40.1%		40.0%	40.2%		40.2%		37.7%	37.8%		37.4%	
Y/Y Growth	+28.0%	+25.5%		+26.5%		+25.4%	+23.4%		+25.2%		+34.7%	+36.4%		+34.8%	
Non-GAAP Net Income	5,822	5,709	+2.0%	5,702		24,833	24,227	+2.5%	24,097		33,482	32,670	+2.5%	32,654	
Net margin (%)	27.3%	27.1%		26.9%		27.4%	27.3%		26.8%		25.8%	25.4%		25.0%	
Non-GAAP EPS	\$1.90	\$1.89	+0.7%	\$1.89	\$1.85-\$1.93	\$8.10	\$8.00	+1.2%	\$8.05	\$8.10	\$10.75	\$10.60	+1.4%	\$10.82	\$10.65
Operating Metrics															
Operating Cash Flow	7,965	8,005	-0.5%	7,293		67,511	59,634	+13.2%	44,760		82,991	77,746	+6.7%	68,444	
Y/Y Growth	+285.5%	+287.5%		+253.0%		+111.1%	+86.5%		+40.0%		+22.9%	+30.4%		+52.9%	
CapEx	19,215	18,935	+1.5%	22,220		93,999	93,289	+0.8%	93,247		110,261	120,083	-8.2%	100,000	
Levered Free Cash Flow	(11,250)	(10,930)	+2.9%	(15,158)		(26,487)	(33,655)		(47,569)		(27,270)	(42,337)		(32,286)	

Source: Company Reports, DB Estimates, Bloomberg Finance LP



Appendix 1

Important Disclosures

Company	Ticker	Recent price	Disclosure
Oracle	ORCL.N	152.94 (USD) 10 Sep 26	1, 2, 7, 8, 14, 15, 21, 24, 26

Prices are current as of the end of the previous trading session unless otherwise indicated and are sourced from local exchanges via Reuters, Bloomberg and other vendors. Other information is sourced from Deutsche Bank, subject companies, and other sources.

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Analyst Certification

The views expressed in this report accurately reflect the personal views of the undersigned lead analyst(s). In addition, the undersigned lead analyst(s) has not and will not receive any compensation for providing a specific recommendation or view in this report. Brad Zelnick.



Historical recommendations and target price: Oracle (ORCL.N)



1.	12 Mar 24	Price target: 150 (USD), close price 127.54 (USD), Recommendation: Buy, Analyst: Brad Zelnick
2.	17 Jun 24	Price target: 165 (USD), close price 141.31 (USD), Recommendation: Buy, Analyst: Brad Zelnick
3.	10 Sep 24	Price target: 180 (USD), close price 155.89 (USD), Recommendation: Buy, Analyst: Brad Zelnick
4.	13 Sep 24	Price target: 200 (USD), close price 162.03 (USD), Recommendation: Buy, Analyst: Brad Zelnick
5.	12 Jun 25	Price target: 240 (USD), close price 199.86 (USD), Recommendation: Buy, Analyst: Brad Zelnick
6.	10 Sep 25	Price target: 335 (USD), close price 328.33 (USD), Recommendation: Buy, Analyst: Brad Zelnick
7.	17 Oct 25	Price target: 375 (USD), close price 291.31 (USD), Recommendation: Buy, Analyst: Brad Zelnick
8.	8 Mar 26	Price target: 300 (USD), close price 152.96 (USD), Recommendation: Buy, Analyst: Brad Zelnick



Company rating dispersion and banking relationships

DBSI Companies under Coverage	Buy	Hold	Sell
Covered	58%	42%	0%
w/ Banking relationship	43%	35%	0%
w/ MiFID services	64%	52%	67%

Global Companies under Coverage	Buy	Hold	Sell
Covered	58%	40%	2%
w/ Banking relationship	46%	32%	31%
w/ MiFID services	75%	68%	92%

Company Rating and Dispersion Key

The above table provides a snapshot of Deutsche Bank's company research rating distribution across our covered companies. We also present the percentage of companies where Deutsche Bank has provided Investment Banking Services in the past 12 months and/or MIFID Investment and Ancillary services, in the past 12 months. Please see the key and definition of our rating below.

Note - percentages are rounded so may not total 100%.

Covered: The overall rating distribution across all companies under coverage with a rating.

w/Banking relation: Percentage of companies under coverage with a rating within each of the "buy", "hold" and "sell" categories for which Deutsche Bank has provided Investment Banking Services within the previous 12 months.

w/MiFID services: Percentage of companies under coverage with a rating within each of the "buy", "hold" and "sell" categories for which Deutsche Bank has provided MIFID Investment and Ancillary services within the previous 12 months.

Buy/Hold/Sell Percentages: These percentages reflect the proportion of companies within each category that have been assigned the corresponding rating, based on our 12-month view of Total Shareholder Return (TSR).

Rating definitions:

Buy: Based on a current 12-month view of TSR, we recommend that investors buy the stock.

Sell: Based on a current 12-month view of TSR, we recommend that investors sell the stock.

Hold: We take a neutral view on the stock 12-months out and, based on this time horizon, do not recommend either a Buy or Sell.

TSR: Total Shareholder Return. Percentage change in share price from current price to projected target price plus projected dividend yield.

Newly issued research recommendations and target prices supersede previously published research.



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